

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANTS,

v.

APS EAST COAST, INC.

RESPONDENT.

RESPONDENT'S EXCEPTIONS TO INITIAL DECISION

PUBLIC VERSION

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RESPONDENT’S EXCEPTIONS TO INITIAL DECISION

Pursuant to 46 C.F.R. § 502.227, APS East Coast Inc (“APS” or “Respondent”) hereby submits its Exceptions to the Initial Decision (“ID”) issued in Docket No. 23-04, on December 16, 2024, by the Honorable Richard Ambrow, the Administrative Law Judge (“ALJ”) in this matter.

I. INTRODUCTION

Respondent APS is an automotive processor that operates two adjoining roll-on, roll-off (“Ro-Ro”) terminals in the Port of Baltimore, the Atlantic Terminal and the Chesapeake Terminal (collectively, the “Terminal”). Complainants Ports America Chesapeake (“PAC”), and Marine Terminals Corporation-East (“MTCE”) (collectively referred to hereafter as “Ports America” or “Complainants”), both of which perform stevedoring services in the Port of Baltimore, are intertwined subsidiaries of Ports America Group, one of the leading terminal operators in the United States.

In 2022, Respondent sought to implement improvements to its terminal business by instituting an access fee on stevedores using the Terminal and its facilities and a preferred stevedore program at its Terminal [Respondent’s Proposed Findings of Fact “RPFF” 13]. APS invited bid proposals from several local stevedoring companies that it understood met its initial qualification criteria, and ultimately selected Ceres Marine Terminal Services (“Ceres”) as its exclusive licensed stevedoring provider for its Terminal [RPFF 14, 20 22; CX_01328-1341; CX_01359]. That agreement was memorialized in an exclusive License and Stevedoring Agreement (the “Agreement”) that included [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] [CX_01328-1341; RPFF 22, 23]. In exchange for meeting those requirements, the Agreement provided for a reduced per-vehicle fee (the “preferred” rate) [CX_01329].

Seeking to ameliorate the initial impact of the preferred stevedore program on carriers calling at the Terminal with arrangements with other stevedores (such as Ports America), Respondent agreed to permit other stevedores, including Ports America, to continue to provide stevedoring services at the Terminal [RPFF 29; CX_01359]. However, in recognition of the fact that such other stevedores were not the preferred stevedore and thus were not licensed or bound to the various commitments set out in the Agreement, Respondent set a higher per-vehicle rate for non-preferred stevedores, of \$25 per vehicle [RPFF 29; CX_01359].

Ports America, upon becoming aware of the exclusive preferred stevedore program, demanded that Respondent vacate the program, or alternatively extend the preferred rates to Ports America [RPFF 31; CX_01380-1383]. Respondent explained to Ports America the basis for its decisions and the basis on which it concluded that the program was lawful [RPFF 33; CX_01520]. Unsatisfied, Ports America initiated this proceeding.

Throughout the course of the proceeding, Ports America has not contested Respondent’s exclusive arrangement with Ceres. Rather, it has complained of the consequences of that exclusive arrangement.

While Respondent appreciates and agrees with certain aspects of the Initial Decision, it has identified certain factual points of the matter which were misconstrued or mis-stated, certain legal issues that were incorrectly resolved, and certain issues left unclarified in the Initial Decision, and which therefore warrant the Commission’s review, correction, or determination. Accordingly, Respondent respectfully submits the following Exceptions:

II. EXCEPTION 1: THE FAILURE TO APPLY THE *PRIMA FACIE* MARKET IMPACT REQUIREMENT

First and most importantly, Respondent takes exception to the Initial Decision's interpretation of the *prima facie* case requirement that is applicable in this matter.

A. *Commission precedents require Complainant to satisfy a prima facie market impact requirement*

As the ALJ acknowledges, Commission precedent is quite clear that in an exclusive arrangement case, "the Commission must first determine the relevant market and then assess the effect of the respondent's practices on competition in that market. If the practices do not have a significant effect on competition, the respondent need not justify its practices and the inquiry is at an end." (*Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, *31, (ALJ, Jan. 10, 2013).

Thus, for Complainants to prevail on their claim of a violation of 46 U.S.C. § 41102(c) (unreasonable practices) and 46 U.S.C. § 41106(2) (unreasonable preference and prejudice) it must first have proven the relevant market, shown Respondent's significant impact on competition in that relevant market, and proven that Respondent's decision affected the market to an unreasonable degree. *See, e.g., River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, 1999 WL 125991, at *24, Docket No. 96-06 (FMC, Feb. 3, 1999) ("before requiring a terminal operator to justify its business decision, there must be a showing of something more than an effect on a relatively tiny portion of the relevant market ..."); *All Marine Moorings, Inc. v. Ito Corp. of Baltimore*, 1996 WL 264720, at *10 (FMC, May 15, 1996) ("if there is no showing in the first place of a monopoly or something akin to a monopoly or an inadequate level of competition, there is no automatic requirement of justification ..."); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672, at *31 Docket No. 11-11 (ALJ, Jan. 10, 2013) ("If the practices do not have a significant effect on

competition, the respondent need not justify its practices and the inquiry is at an end. If there is a significant impact, then the burden shifts to the respondent to justify its practices. The extent of the respondent's burden of justification will depend on the anti-competitive effect of its practices.”)

Only once this hurdle of proving its *prima facie* case has been cleared by Complainants does the burden shift to Respondent to justify its business practices – in this case, the non-preferred stevedore fee. However, in this case the ALJ did not require Complainants to meet that *prima facie* standard, and the failure to apply it here threatens to overrule decades of Commission precedent.

B. APS’ Agreement with Ceres is an exclusive agreement

The Initial Decision rejected the required *prima facie* requirement of showing an impact on competition in the relevant market through a *sua sponte* assertion that the Agreement between Respondent and Ceres was “not an exclusive services agreement” without any factual support for such a conclusion [ID at 23]. That flaw in logic leads to a number of improper and incorrect conclusions.

1. Complainants’ do not argue that the agreement between APS and Ceres was not exclusive

As Ports America has conceded repeatedly throughout the course of this proceeding, Complainants do not assert that the exclusive Agreement between Respondent and Ceres violated the Shipping Act, nor do Complainants assert that the Agreement was not exclusive [Dkt. 23-04, Doc. 27, March 4, 2024, at Pg. 5]. The Agreement was solely between APS East Coast Inc. and Ceres for the right to preferential rates at Respondent’s Terminal. Thus, it was an exclusive Agreement between those parties for preferential rates.

Complainants have not argued to the contrary and in fact, noted in Complainants' Brief the exclusive nature of the Agreement: "AMPORTS' came up with a concept to select one stevedore as a 'preferred stevedore' and privately contract with that preferred stevedore to pay a per car fee for the preference" [Complainants' Brief, Doc. 32, at 6]. That is clearly within the meaning of an exclusive agreement and the ALJ finding otherwise runs contrary to the positions of both parties, the facts of this case, and any reasonable interpretation of the term "exclusive."

2. Construing the agreement between APS and Ceres as non-exclusive was in error.

Nevertheless, the ALJ reached the *sua sponte* conclusion that the Agreement between APS and Ceres was non-exclusive. Respectfully, that conclusion was in error.

The ALJ concluded that because Complainants were still able to operate at Respondents' Terminal, the agreement could not be an exclusive services agreement. Such a conclusion misapprehends the nature of exclusive agreements, in which preferred rates in exchange for consideration are commonplace in the maritime environment.

As has been pointed out elsewhere in the Initial Decision, Ceres received lower per car access fee rates in exchange for entering into the exclusive Licensing and Stevedoring Agreement [CX_01328-1341]. That Agreement included a number of terms providing benefits to Respondent, including the following:

- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[CX_01328-1341]

In return, the agreement provided to Ceres an exclusive arrangement under which it would be the exclusive licensed stevedore at the Terminal and be assessed a negotiated per vehicle rate based upon it being the exclusive licensed stevedore at the Terminal. No other entities were party to such an agreement, and the arrangement was made available only to the selected preferred stevedore, Ceres [CX_01328-1341].

3. The ALJ erred by treating the issue as simply different charges

Upon deciding that the Agreement between APS and Ceres was not exclusive, the ALJ concluded that the issue was simply one of different rates, and therefore disparate treatment of similarly situated entities.

Under the ALJ's reasoning, Respondent has violated the Shipping Act by entering into an agreement with single stevedore, giving that stevedore a preferred rate on per-vehicle charges while Complainant was charged at the tariff rate of \$25 per vehicle, even though the preferred rate was granted in exchange for the exclusive preferred stevedore being required to meet a number of contractually-imposed requirements not applicable to stevedores operating on the Terminal under the general tariff and not subject to contractual obligations. That conclusion is

based upon the ALJ's judgement that the preferred stevedore licensing Agreement did not convey any commercial benefits to APS of sufficient of value to justify the lower rate under the agreement, thus rendering the tariff rate of \$25 per car rate allegedly unjust and unreasonable. In reaching that dubious conclusion, the ALJ expressly disregarded the lack of any evidence of an impact on competition within the relevant market.

Ironically, under the logic employed by the ALJ, had Respondent completely shut out all other stevedores from its Terminal as Complainant PAC has done at the Seagirt Terminal in Baltimore¹ – an action with obviously greater anti-competitive implications – the ALJ would have recognized the arrangement as exclusive one and would necessarily have found that Complainants failed to prove the market impact of Respondent's actions and dismissed the Complaint on Complainant's failure to have established a *prima facie* case.

Disregarding the threshold issue of whether commercial actions have any impact on the relevant market where the actions pose less threat to competition clearly is not the intention of the Commission and in fact violates Commission precedents, as detailed above. Accepting the ALJ's logic and ruling would only increase the likelihood of anticompetitive behavior against which the Commission has steadfastly guarded since its inception.

C. Even if the preferred stevedore and licensing arrangement were not an exclusive arrangement, the Commission precedents still apply

1. The ALJ misapprehended the case of *Marine Repair Services*

The ALJ appears to have misunderstood and misapplied the decision in *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, 2013 WL 9808672, Docket No. 11-11 (ALJ, Jan. 10, 2013), construing the dispute as a challenge to an exclusive service

¹ Complainant PAC is the exclusive provider of stevedoring services at the Seagirt Marine Terminal in Baltimore [RPFF 2, 50].

agreement and concluding that the application of the requirement for a *prima facie* showing of an impact on competition is relevant only to such cases [ID at 23]. However, that case did not concern a challenge to an exclusive arrangement, and did not limit the application of the *prima facie* requirement to such cases.

In *Marine Repair*, the complainant Marine Repair Services of Maryland, Inc., (“MRS”) brought a complaint against Ports America Chesapeake’s (PAC) alleging violations of 46 U.S.C. § 41106(2) (undue preference) and 46 U.S.C. § 41106(3), unreasonable refusal to deal) based on PAC’s practices at the Seagirt terminal, at which it is the sole stevedore. MRS complained that PAC had given undue and unreasonable preference (to itself) with regard to maintenance and repair services.

That case is directly on point to issues presented here. Just like Complainant in this case, MRS still had access to the respondent’s terminal, but complained of the additional costs and burdens imposed on it by the respondent, which MRS argued had harmed its business as a result of respondent PAC’s anti-competitive activity; and that as a result, MRS had suffered over \$3.6 million dollars in lost business and loss of business value (*Marine Repair* at *2-7).

The ALJ here correctly stated in the Initial Decision that in *Marine Repair*, the Administrative Law Judge (the Hon. Paul B. Lang) had noted that “in exclusive arrangement cases, ‘the Commission must first determine the relevant market and then assess the effect of the respondent’s practices on competition in that market.’” [ID at p. 23, citing to *Marine Repair*, at *31]. Just as in *Marine Repair*, in the present matter, Complainants do not challenge the exclusive arrangement, but rather Respondent’s practices as a result of the arrangement [*see* Dkt. 23-04, Doc. 27, March 4, 2024, at Pg. 5]. However, the ALJ here disregarded the facts of *Marine Repair*, and the subsequent holdings. In *Marine Repair*, Judge Lang held that:

Commission precedent as to the validity of exclusive arrangements is of limited value. MRS does not challenge the provisions of the Master Lease which created the exclusive arrangement [giving PAC exclusive control of operations at the terminal], nor has MRS named MPA, the other party to the Master Lease, as a co-respondent. Thus, the central issue in this proceeding is not the reasonableness of the exclusive arrangement, but the reasonableness of PAC's practices as a result of the arrangement.

Marine Repair at *32.

The ALJ in *Marine Repair* then proceeded to analyze the facts and PAC's practices in accordance with the test for evaluating the legality of exclusive arrangements, articulated as follows:

...the Commission must first determine the relevant market and then assess the effect of the respondent's practices on competition in that market. If the practices do not have a significant effect on competition, the respondent need not justify its practices and the inquiry is at an end. If there is a **significant impact**, then the burden shifts to the respondent to justify its practices. The extent of the respondent's burden of justification will depend on the anti-competitive effect of its practices.

Marine Repair at *31 (emphasis added).

The ALJ in *Marine Repair* analyzed the relevant product market at issue (maintenance and repair "M&R" services) and then, determining the applicable geographic market under the M&R context, found that the relevant market was the Port of Baltimore. The ruling noted that the relevant geographic market needed to correspond to economic realities and reflect the realistic opportunity to obtain M&R services (the relevant product market). *Id.* at *32-34.

The ALJ in *Marine Repair* then analyzed the competition in the relevant market, (i.e the Port of Baltimore). Despite finding that PAC enjoyed a significant competitive advantage over MRS which it used to secure M&R work, and that MRS' volume of M&R work had declined sharply as a result of PAC's actions, the ALJ ruled that MRS had not been actually or effectively shut out of the Port of Baltimore, as it continued to perform M&R work at Dundalk and its two off-dock facilities. *Id.* at *34.

The ruling then considered PAC's practices with respect to the restrictions imposed by PAC on MRS' operation at Seagirt, and an alleged tying arrangement with third-party Multimarine Services, Inc. ("Multimarine") which bundled PAC's M&R services with its stevedoring services.

The ALJ started with PAC's selection of Multimarine to perform reefer repair work, which he concluded was a reasonable commercial arrangement. The decision went on to state that while the parties disagreed about PAC's motives for selecting Multimarine as a subcontractor, PAC "may use its leased premises to its own advantage so long as its actions are not unreasonable" and its selection of Multimarine was deemed a reasonable economic decision. *Id.* at *36. The ALJ then moved on to consideration of PAC's institution of a practice that prevented MRS from accessing the terminal directly from its facilities at the adjacent terminal, forcing MRS to obtain receipts for containers and use a round-about route with various other requirements increasing the costs and delays imposed on MRS to engage in M&R work at PAC's terminal. The decision concluded that the controlling issue was whether PAC's practice of closing MRS's direct access to Seagirt over the bridge to the adjoining terminal unduly restricted MRS's ability to compete for M&R work at the Port of Baltimore, which the ALJ found it did not. *Id.* at *36-37.

MRS also challenged the alleged tying arrangement instituted by PAC that offered discounted stevedoring charges to ocean carriers that made use of Multimarine for M&R services. The decision held that cutting prices applicable to a service by a particular contractor through a bundling arrangement was not anticompetitive, citing to *Cascade Health Sols. v. PeaceHealth*, 515 F.3d 883, 894 (9th Cir. 2008) and *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 594 (1986) for the point that cutting prices to increase business is the very

essence of competition. The decision carried on to note that the customers' acceptance of M&R services and their cost-savings decisions were voluntary. *Marine Repair*. at *39. Ultimately, the decision held that while PAC was the only stevedore at Seagirt; it was not the only stevedore in Port of Baltimore – the relevant geographic market – and PAC had not forced MRS out of business; therefore, PAC's practices did not meet the standard for illegality under the Shipping Act. *Id.* at *39.

The decision in *Marine Repair* concluded by reflecting that the “nature of competition is such that gains by one competitor are accompanied by losses to others. The business income lost by MRS, while possibly significant, is the result of legitimate competition. Such competition is not prohibited by the Shipping Act.” *Id.* at *39. MRS' complaint was accordingly dismissed. *Id.* at *40.

Thus, far from concluding that the *prima facie* requirement applies only in cases of exclusivity arrangements, the decision squarely held that a complainant bringing a challenge to an arrangement similar to that at issue in this proceeding was subject to an initial burden of establishing a *prima facie* showing of a significant anti-competitive impact on the relevant market, failing which the Commission would not second-guess the business judgment of the respondent.

2. The ALJ also erred in his reading of *All Marine Moorings*

Notably, the ALJ also erred in his reading of *All Marine Moorings, Inc. v. Ito Corp. of Baltimore*, 1996 WL 264720, at *10 (FMC, May 15, 1996). While that case involved a challenge to an exclusive stevedoring arrangement, as held by the ALJ in that case and affirmed by the Commission, the failure of a complainant to show that the impact of the challenged practice imposes something close to a monopoly in the market fails to shift the burden onto the respondent to justify its decisions. *Id.* at *3, *12.

Likewise, the ALJ's reference to *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, 1999 WL 125991, Docket No. 96-06 (FMC, Feb. 3, 1999) failed to consider the Commission's holding that: "[c]ases finding that complainants had met their *prima facie* burden involved indications of monopoly or another anticompetitive arrangements beyond the exclusivity of the arrangements themselves" *Id.* at *28.

Accordingly, before imposing on Respondent the burden of production in this case, the ALJ should have determined whether Complainants first met their initial burden of showing an anti-competitive impact on the relevant market. Here, there is no question that Complainants utterly failed to do so, and as a consequence, the Complaint should be dismissed.

III. EXCEPTION 2: THE ALJ ERRED BY IMPOSING THE BURDEN OF PROOF ON RESPONDENT

In the Initial Decision, the ALJ misconstrues the applicable burden of proof with respect to the shifting burdens in connection with a Shipping Act complaint. At page 21 of the Initial Decision, the ALJ asserts: "If the complainant makes out a *prima facie* case of unreasonableness, the burden of refuting that case shifts to the respondent" [ID at 21, citing *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. 96- 06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999)]. At first glance, the statement appears to square with Commission precedent, however at the conclusion of that section, the ALJs states that: "I find that Respondent has not carried its burden of proof to refute Complainants' *prima facie* case" [ID at 28 (emphasis added)].

The foregoing is a serious error with regard to the applicable burdens in a Shipping Act case. Under long-standing Commission precedents, the burden of production begins with the complainant, who must make out a *prima facie* case. *River Parishes Company, Inc. v. Ormet Primary Aluminum Corporation*, Dkt. 96-06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999). If

the complainant makes out its *prima facie* case, then (and only then) the burden of refuting that case shifts to the respondent. *Id.* If the complainant fails to make out its *prima facie* case, there is no shift of the burden, and no need for the respondent to justify the practice in question. *Id.* However, regardless of the shifting burden, the complainant always bears the ultimate burden of persuasion. *Id.*

The burden of proof to prevail in a proceeding to enforce the Shipping Act is a preponderance of the evidence standard. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). This means that Complainants bear the ultimate burden of proving that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *3-4 (FMC, Aug. 18, 2021) (Order Affirming Initial Decision on Remand). This burden of proof, or persuasion as used in Respondent's Brief, **always remains with Complainants**. *Santa Fe Discount Parking v. Board of Trustees*, Dkt. No. 14-06, 3 F.M.C.2d, 59, 68, 2021 WL 1575018 (FMC, April 16, 2021). See also *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *31 (ALJ, Jan. 10, 2013).

Notwithstanding that clear requirement, the ALJ in the Initial Decision flipped the requirement and imposed the burden of persuasion on Respondent, not Complainant [ID. at 28].

It is clear that the ALJ's statements regarding the applicable burden were not merely inaccurate language, as the language of the Initial Decision reflects the ALJ's understanding that it was Respondent's burden to prove the justification; *e.g.*:

- “I am not persuaded that the higher access fee is justified by the financial risk to Respondent” [ID at 28];

- “...the absence of a dispute resolution mechanism between Complainants and Respondent does not appear to justify the “much higher” access fee.” [ID at 28];
- “Because the higher access fee imposed on the non-preferred stevedore does not appear to be reasonably related, fit and appropriate to the reasons given for the preferred stevedoring agreement, I find that Respondent has not carried its burden of proof...” [ID at 28](emphasis added);
- “Therefore, Respondent does not justify its practice of asserting that Complainants were responsible for paying the \$25/per vehicle access fee.” [ID at 32];
- “Accordingly, I find that two stevedores operated at Respondent’s Terminal, with one owing a “much higher” access fee than the other one, but there being no convincing reason for the one stevedore owing a higher amount.” [ID at 35].

It is Complainant’s burden to prove that Respondent’s practice of charging non-preferred stevedore rates to non-preferred stevedores is not lawful, is excessive, or is not reasonably related, fit, or appropriate to Respondent’s goals; not the other way around. That standard was not appropriately applied in the instant matter, but had it been so, the ALJ would find that Complainant’s have not met their burden of proving that Respondents violated 46 U.S.C. § 41102(c).

IV. EXCEPTION 3: THE INITIAL DECISION DID NOT ACCURATELY REFLECT THE PREFERRED STEVEDORE LICENSE AND STEVEDORE AGREEMENT

In Finding of Fact 16, the Initial Decision identified only three provisions of the preferred stevedore agreement: indemnification provisions, insurance provisions, and a dispute resolution

provision. Subsequently through the Initial Decision, the ALJ dismisses Respondent's reference to the value of the preferred stevedoring agreement by referring only to those three provisions.

However, as noted above, the preferred stevedoring agreement included a number of other provisions of value to Respondent, including (but not limited to) the following:

- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]
- [REDACTED]

[CX_01328-1341]

Further, with regard to the indemnification provisions of the preferred stevedore agreement, the Initial Decision further errs by [REDACTED]
[REDACTED]
[REDACTED] [ID at 27;
CX_01328-1341].

V. EXCEPTION 4: THE ALJ ERRED IN CONCLUDING THAT RESPONDENT VIOLATED 46 U.S.C. § 41102(C)

A. *The Commission has held that a parties' business judgment is entitled to deference*

The burden to justify marine terminal operator's decisions, such as the entering into agreements, the setting of fees and rates, the establishment of a tariff, and similar decisions is "not a heavy one" and the Commission shows deference to terminal operators and "will usually not second guess their reasoning." *Santa Fe Discount Parking v. Board of Trustees*, Dkt. No. 14-06, 3 F.M.C.2d, 59, 74 (FMC, April 16, 2021). Likewise, the Commission has ruled that parties are to be afforded "discretion to exercise business judgment." *See, e.g., Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001) ("The Commission is not responsible for ensuring that everybody makes a good deal – just that the commercial environment is not hampered by unreasonable or unjustly discriminatory practices."); *see also Maher v. PANYNJ*, 33 S.R.R. at 853 (noting that the Commission defers to commercial parties' "reasonable, discretionary business decisions,").

For an entity's business decision to be given deference, the decision need only be reasonable, otherwise lawful but not excessive and which is fit and appropriate to the end in view. *Id.*, *accord River Parishes Company, Inc. v. Ormet Primary Aluminum Corp.*, 1999 WL 125991 at *24 (citing *West Gulf Maritime Ass'n v. Port of Houston Auth.*, 21 F.M.C. 244, 18 S.R.R. 783 (1978)).

B. *The ALJ failed to accord due deference to Respondent's business decisions*

In this case, APS sought to implement an exclusive preferred stevedoring provider system at its privately owned and operated Terminal, for the purpose of improving the efficiency of operations, improving safety, reducing financial risks, and improving revenue at its terminal. The Initial Decision recognized those goals and agreed that they were valid business goals.

The preferential fees agreed with the preferred stevedore in exchange for the commitments in the preferred stevedoring Agreement, and the higher fees imposed through the tariff for non-preferred stevedores, were intended to reflect the value to Respondent of the Agreement and to encourage carriers calling at the Terminal to use the preferred stevedore that had [REDACTED]

[REDACTED] in the preferred stevedoring Agreement. That was in turn expected to increase efficiency with the preferred stevedore handling the bulk of the work at APS' Baltimore facility, increase safety by reducing the frequency of and number of non-preferred stevedores on the terminal, and provide substantially greater financial security to Respondent and its Terminal. In addition, Respondent expected that the increased efficiency would support its goal of ultimately achieving higher volumes of vehicles through its terminal, thus increasing its overall revenues [See CX_01329-1330].

However, the ALJ concluded that, in his opinion, the preferred stevedore system did not accomplish its goals, and was therefore not reasonably related, fit, and appropriate, and was therefore in violation of § 41102(c) [ID at 26 & 28]². As set out more fully below, the conclusions of the ALJ are not supported by the record.

However, more to the point, the test is not whether the business decisions of a respondent actually accomplish their ultimate goals, but whether, affording due deference to the business judgement of the respondent, the actions taken were reasonably related to lawful commercial goals. *See, e.g., Marine Repair*, supra. The ALJ concedes that improving efficiency and safety,

² "In short, the higher fee charged to the non-preferred stevedores does not accomplish the goal of efficiency."; "Therefore, the higher access fee does not achieve the safety goal."; "Conversely, a contractual dispute resolution clause does not guarantee litigation avoidance."

and reducing financial risks and the risk of litigation, are all reasonable, lawful goals, and that the actions taken by Respondent were reasonably related to those goals [ID at 25-28]. By declining to afford due deference to Respondent, and rejecting its business discretion because, in the ALJ's opinion, it's efforts were not successful, was in error.

C. The ALJ erred by concluding that Complainants were charged a much higher fee for no additional benefit

Disregarding the precedents from *Marine Repair* and *All Moorings, supra*, requiring Complainants to state a *prima facie* case, the ALJ simply leaped ahead and concluded that the “the key fact is that Complainants were charged a \$25 per vehicle fee, which is much higher than the fee charged the preferred stevedore [but] received no additional benefit for the higher fees.” [ID at 25]. That was a clear error contradicted by the record.

As set out above, the “benefit” that Complainant received was the permission to continue to engage in stevedoring operations on Respondent's privately owned terminal without a license, and without undertaking the obligations to which the preferred stevedore bound itself, including:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Accordingly, the conclusion of the ALJ that Complainant was charged a much higher fee for no additional benefit is flatly wrong; and ignored the evidence in the record.

D. The ALJ erred by substituting his own opinions for Respondent's business discretion

1. The ALJ inserted his own unsupported opinions on terminal efficiency

The ALJ concluded that the preferred stevedore program did not accomplish its goal of efficiency because it did not prevent Complainant from operating at the terminal. However, the record was clear that the program did increase the use of the preferred stevedore, who Respondent had determined to be more efficient than Complainant.

By establishing an arbitrary and unsupported standard for evaluating the efficiency of the terminal and concluding that the failure to fully exclude Complainant from the terminal rendered the effort to improve efficiency a failure, the ALJ failed to afford due deference to Respondent, in violation of Commission standards.

2. The ALJ inserted his own unsupported opinions on terminal safety

Similarly, the ALJ concluded that because the preferred stevedore program did not prevent Complainant from operating at the terminal, it failed to improve safety at the terminal and was therefore unreasonable. However, as noted above, the program did increase the use of the preferred stevedore, who Respondent had judged as having a better safety record than Complainant.

By doing so, the ALJ again substituted his own arbitrary and unsupported opinion for evaluating the efficiency of the terminal, and by concluding that the failure to fully exclude Complainant from the terminal rendered the effort to improve safety a failure, the ALJ failed to afford due deference to Respondent, in violation of Commission standards.

3. The ALJ erred by concluding that the indemnification provisions in the preferred stevedoring agreement were the same as those imposed under the tariff

The ALJ first noted that he would “assume, without deciding, that offsetting increased financial risk may be a reason to justify charging one stevedore a higher fee than another” [ID at 27]. Respectfully, that assumption again reflects that the ALJ substituted his own judgment for the business judgment of Respondent, who plainly decided that offsetting financial risk justified a decreased fee for the preferred stevedoring willing to provide protections against potential liabilities inherent in terminal operations.

The ALJ then looked only at the indemnification, insurance, and [REDACTED] provisions of the preferred stevedore agreement, and ignored the many other provisions offsetting financial risks for the terminal, noted above [ID at 27-28]. The ALJ compounded those errors by misinterpreting the indemnification provisions, as well as the insurance and [REDACTED] provisions (discussed more fully below).

With regard to the indemnification provisions, the Initial Decision notes that the Complainants were subject to indemnification provisions in the tariff [ID at *27]. However the ALJ failed to recognize that [REDACTED]

[REDACTED]. Among other things, the provisions in the agreement [REDACTED]

[REDACTED]

[REDACTED] Further the agreement [REDACTED]

[REDACTED]. The agreement further [REDACTED]

[REDACTED].

Accordingly, the ALJ’s treatment of the two indemnification provisions as identical was in error.

4. The ALJ erred by disregarding the value of the exclusive preferred stevedore Agreement

While ignoring many of the provisions of the Agreement, the ALJ correctly noted that the preferred stevedoring Agreement imposed indemnification, insurance requirements and dispute resolution process. Yet even though acknowledging those benefits to Respondent of those provisions of the Agreement, the ALJ assigned no dollar value to them, and failed to afford any deference whatsoever to the business judgment of Respondent that such provisions (as well as the many others ignored by the ALJ) provided a significant value, justifying the reduced per-vehicle access fee granted to Ceres as contrasted with the access fee under the general tariff [ID at 25-28].

Instead, the ALJ simply concluded that the benefits of the Agreement “[do] not appear to justify the ‘much higher’ access fee” imposed on stevedores operating under the tariff [ID at 28]. That conclusion was an unsupported value judgment that failed to provide due deference to Respondent’s commercial evaluation of the value of the Agreement’s provisions.

With regard to the insurance terms of the Agreement, the ALJ concluded that the Agreement’s insurance provisions did not justify a difference in the respective access fees. He based that opinion on the observation that Complainants would be subject to indemnification obligations, and because “it appears that Complainants would be able to satisfy its indemnification obligations” because “Complainants collectively are a large stevedore.”

We trust the Commission is well-aware that a tariff-imposed indemnification obligation is a significantly less reliable source of reimbursement, contribution, or other satisfaction of a claim than [REDACTED]. We expect the Commission is likewise well-aware of the value of [REDACTED].

[REDACTED]

[REDACTED]

Likewise, the Commission certainly understands that even though Complainants are subsidiaries of a large group of stevedoring companies, they are individual legal entities, and therefore the size of their parent entity or affiliates is irrelevant to their ability or willingness to satisfy indemnification obligations under a tariff. In sum, a terminal operator faces substantially less risk when [REDACTED]

[REDACTED] compared to a terminal operator whose sole recourse is a tariff-imposed indemnification obligation [REDACTED].

Likewise, while the ALJ concluded that the dispute resolution terms in the Agreement were of no value, based on his speculation that “Parties with a dispute do not necessarily need a contractual provision to come to a mutually agreeable resolution [and] a contractual dispute resolution clause does not guarantee litigation avoidance.”

Those opinions ignore the provisions of the preferred stevedore agreement, which among other things, included [REDACTED]

[REDACTED] The Commission may take judicial notice of [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

Thus the ALJ’s dismissal of the value of [REDACTED]

[REDACTED]. Indeed, the

Commission itself has a long history of following the federal policy favoring [REDACTED]
[REDACTED]
[REDACTED] Clearly, the
U.S. Congress and the Commission do not agree that [REDACTED]
[REDACTED] are without value.

In any event, the ALJ erred by basing his conclusion that the Agreement did not justify the difference in access fees on his personal opinion that the various contractual obligations undertaken by the preferred stevedore had no value. With respect, such a ruling gives no deference to the business judgment of Respondent, an experienced terminal operator, and therefore is reversible error.

VI. EXCEPTION 5: THE ALJ ERRED IN CONCLUDING THAT RESPONDENT VIOLATED 46 U.S.C. § 41106(2)

In its discussion of Respondent's justification for charging a higher access fee to Complainant than that charged to the preferred stevedore, the Initial Decision noted that "the Commission shows deference to public port authorities and will usually not second guess their reasoning." [ID at 35, citing to *Santa Fe Discount Cruise Parking, Inc., v. The Bd. of Trustees of the Galveston Wharves*, 2021 WL 1575018, *15 (FMC 2021)]. The Initial Decision continued on to note that "[t]he Commission, however, continued, stating that: 'But a port authority must provide its reasoning before the any deference can be shown.'" [ID at 35].

Here, the ALJ dismissed Respondent's reasoning without discussion, simply stating that "the reasons do not justify the disparate treatment, even considering some deference" [ID at 35]. Plainly, the Initial Decision showed no deference whatsoever.

In so deciding, the ALJ ignored the many reasons offered by Respondent, including the goals of the preferred stevedore arrangement to improve the efficiency of terminal operations,

improve safety at the terminal, reduce the financial risks of terminal operations, and improving revenue at its terminal. The ALJ also utterly disregarded the many differences between the extensive concessions in support those goals offered by the preferred stevedore, in contrast to the operations under the tariff of Complainants, as detailed above in Section V.C. and some of which were identified by the ALJ in other sections of the Initial Decision, including:

- The different safety records of Complainants [ID at 35];
- The contractual undertakings of the preferred stevedore contrasted with Complainants who were subject only to the tariff [See, e.g., ID FF #16, 21, ID at 26 & 28, CX_01328-CX_01341; Taylor Dep., CX_00683:10-CX_00684:1, Buben Dep., CX_00355:3-15; Respondent's Answer to Interrogatory Nos. 11 and 17, CX_01508, CX_01510];
- The additional financial risk posed by Complainants contrasted to the preferred stevedores [ID at 26-27; Brown Dep., CX_00083:13- CX_00084:1, CX_00274:3- CX_00277:14; Buben Dep., CX_00450:23-CX_00451:4, see also Respondent's Answers to Interrogatory Nos. 11 and 17, CX_01508, CX_01510].

The conclusion of the ALJ is contrary to the record and unsupportable in light of the preferred stevedoring Agreement between Respondent and Ceres, including the multiple provisions detailed above. A ruling that a terminal would be required to charge the same amount to different parties, regardless of disparate circumstances, undertakings, obligations, and concessions presenting materially different values to the terminal, would render the ability of MTOs to privately contract based on varying considerations, null and void, and would violate the Commissions precedents.

Further, mere differences in treatment of parties do not violate the Shipping Act. *See, e.g., Petchem, Inc. v. Federal Maritime Commission*, 853 F.2d 958, 963 (D.C. Cir. 1988) (“The Act clearly contemplates the existence of permissible preferences or prejudices.”); *Santa Fe Discount Parking v. Board of Trustees*, Dkt. No. 14-06, 3 F.M.C.2d, 59, 2021 WL 1575018 at *15 (FMC, April 16, 2021). Rather, only “undue or unreasonable preferences and prejudices would be violative of the Prohibited Acts.” *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, Dkt. No. 17-07, 1 F.M.C. 2d, 35 (ALJ, April 17, 2018) (citing *Seacon Terminals, Inc. v. The Port of Seattle*, 26 S.R.R. 886, 900 (FMC 1993)).

Thus, as a result of the misapplication of the burden of proof and failure to consider the record of the provisions and value of the preferred stevedoring agreement, Respondent was not given any deference whatsoever for its business decisions despite the evidence presented and accounted for in the Initial Decision. Accordingly, the conclusion that Respondent violated 46 U.S.C. § 41106(2) is illogical, unsupportable, and in error.

VII. EXCEPTION 6: THE ID ERRED BY CONCLUDING THAT RESPONDENT IS NOT ENTITLED TO CHARGE COMPLAINANTS THE ACCESS FEE UNDER ITS TARIFF

The ALJ’s analysis with respect to the construction of the tariff does not accord with traditional contractual construction and does not account for the notice provided to Complainants, nor the clear and unambiguous communications between the parties.

As held in *New Orleans Steamship Association v. Plaquemines Port, Harbor and Terminal District*, Dkt. 83-2, 1986 WL 170020, at *8 (FMC, Sep. 16, 1986).

The Commission has established a basic rule on liability provisions in terminal tariffs. Any person that is a “user” of a terminal facility may be held liable for the tariff charges related to that use. The rationale is that a terminal operator has the right to impose reasonable conditions on the use of its facilities to ensure the collection of tariff charges. The term “user” includes those that indirectly, i.e., as agents of direct users, utilize terminal facilities.

In this case, as the ALJ conceded, the tariff term “customer” was defined in the tariff to include “any other person or entity, including but not limited to the agents, other providers, and other subcontractors (at any level) of any of the foregoing, that uses the Terminal facilities or is provided with, benefits or receives any services whatsoever from the Terminal Operator ...” [ID at 12-13; CX_01751-1753] Indeed, in discussing the indemnification provisions of the tariff, the ALJ readily concludes that the Complainants were “customers” under the tariff [ID at 27]. The ALJ further conceded that the tariff provided that a “customer” was liable for a \$25 per vehicle fee under the tariff [ID at 30]. However, the parties agree that the original language in the tariff with regard to the payment of the per vehicle fee was initially ambiguous.

To address that ambiguity, the ALJ in the Initial Decision rephrases the language of the tariff entirely, and after doing so, concludes that the per vehicle fee is imposed on the carrier, rather than the stevedore, “based upon the plain language of the tariff” [ID at 31]. However, that reading is not based upon the tariff itself, but on the ALJ’s unilateral rewording of the tariff. Simply put, if the language of the tariff were clear, it would not need rephrasing.

That tariff’s ambiguity is, in part, the reason that Complainants reached out to Respondent regarding its November 1, 2022, announcement.³ Respondent’s March 2024 letter clarifying the ambiguity does not, of course, change the express language of the tariff schedule, any more than does the rephrasing by the ALJ. However, to the extent the tariff was initially ambiguous, Respondent provided direct, written confirmation of its intention and the intended meaning of the tariff [CX_01520-1524].

³ Finding of Fact No. 14 suggests that the announcement was dated November 30, 2022, however this appears to be a typographical error, as elsewhere throughout the Initial Decision, it is correctly identified as the November 1, 2022 announcement (See Findings of Fact Nos. 25, 26, 27; ID at 2, 14, 15, 23, 26, 33, 34).

In response to Respondent's letter, Ports America confirmed its clear understanding of Respondent's intention and the intended meaning of the tariff, and communicated that same intention to its carrier clients; to wit: that Respondent had imposed a \$25 per unit fee for stevedoring of vehicles by non-preferred stevedores on Ports America and that Ports America would, as a result, be required to pay the fee [RPFF 37, 38, 39; CX_01571-1578]. Ports America then requested that its clients accept the pass-through charge, failing which Ports America stated that it would not be able to perform stevedoring operations at the Terminal [RPFF 37, 38, 39, 55; CX_01571-1578]. Thus, Ports America was clearly on notice no later than March 31, 2023 that it would be required to pay the non-preferred stevedore [RPFF 48, 53, 54; CX_01520-1524].

However, despite this awareness, Ports America did not: (i) decline stevedoring work at the APS Terminal, (ii) pass through the fees to its clients, (iii) pay the invoiced fees, or (iv) send their customers to other terminals at the Port of Baltimore [RPFF 40, 41, 42; CX_01519]. Rather, Ports America continued to utilize Respondent's terminal for its own commercial purposes and ignored the bills being sent to it for its use of Respondent's terminal [RPFF 57; CX_01519].

Thus, Respondent is fully within its rights under the tariff to charge the non-preferred stevedore access fee to the non-preferred stevedores using Respondent's terminal for their commercial activities. Further, Ports America cannot represent that it did not understand that it, rather than the carriers, was required to pay the fee on the basis of the tariff standing alone. Respondent made it crystal clear in its March 2024 letter that it intended to collect the fee from Ports America, and Ports America informed the carriers to whom they provided services accordingly. With that knowledge, Ports America continued to access the Terminal and continued to provide stevedoring services. As it acknowledged to its own customers, Ports

America should have collected the non-preferred access fee from its carrier customers in accordance with the tariff. It took initial steps towards this course of action but did not follow through and instead filed the instant action.

Respondent further notes that the ALJ again appears to impose the ultimate burden of persuasion on Respondent, rather than Complainant, with respect to its practice of charging the \$25 per car access fee to non-preferred stevedores, which is incorrect as explained above [ID at 32].

VIII. EXCEPTION 7: THE ALJ INVITES FURTHER LITIGATION AGAINST RESPONDENT FOR ACTIONS IT LATER SUGGESTS RESPONDENT SHOULD TAKE

Respondent takes exception to the ALJ's footnote no. 9, which appears to invite further litigation against Respondent based on its preferred stevedoring agreement, which no longer exists. The ALJ's footnote states in its entirety:

It is not clear from the record if Respondent has sent invoices to the carriers and OEMs. If Respondent did, however, it appears that the carriers and OEM would likely be able to challenge the reasonableness of the preferred stevedoring agreement successfully. The preferred stevedore agreement requires the carriers and OEMs to pay substantially higher fees to use Complainants as opposed to Ceres for the same services, but with no valid justification for the higher fees.

[ID at 32]

To be clear, the ALJ here attacks Respondent's preferred stevedoring agreement itself as unreasonable, which even Complainants declined to do throughout the litigation [*see* Dkt. 23-04, Doc. 27, March 4, 2024, at Pg. 5]. While Respondent did not send invoices to the carriers/OEMs as it intended to collect payment from the stevedores accessing its terminal, we respectfully submit that inviting further litigation against Respondent in this context is wholly improper and should be struck from the Initial Decision.

Respondent further notes that this footnote commentary runs counter to various statements throughout the Initial Decision in which the ALJ conceded various legitimate basis for the preferred stevedoring agreement, including:

- “Based on the evidence in the record, I find that Respondent carried its burden of demonstrating that it was justified in declining to ask Complainants to bid on becoming the preferred stevedore.” [pointing to evidence in the record regarding safety concerns with Ports America – ID at 35];
- “Respondent had well-founded concerns about Complainants’ safety.” [ID at 36];
- “I accept that Respondent may have had too many bad experiences with Complainants despite Complainants’ safety record.” [ID at 36];
- “In light of the evidence in the record, I find it to be more likely than not that Respondent’s concern about Complainants’ safety record was a legitimate concern, and thus a basis for concluding that Complainants would not be a suitable stevedore partner.” [ID at 36-37];
- “...there is some evidence in the record that Respondent had concerns about Complainants’ safety record.” [ID at 37];
- “I assume, without deciding, that offsetting increased financial risk may be a reason to justify charging one stevedore a higher fee than another.” [ID at 27];
- “...a dispute resolution mechanism may have value.” [ID at 28].

Further, as set forth in detail above, the record is replete with reasonable, commercial reasons for the imposition of a higher fee on the use of a non-preferred stevedore than on the use of the preferred stevedore, including the significant benefits to the terminal from the use of the preferred stevedore contrasted with the use of Complainants, including [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED] other benefits; all of which were ignored or downplayed by the ALJ, but are a matter of record as set forth above.

In addition, as a practical matter, the footnote would create an unreasonable “Catch-22” scenario for Respondent. In the Initial Decision, the ALJ stated that the tariff “when read fairly” properly charges the \$25 per car access fee to carriers and OEM, not stevedores [see ID at 37], thereby proposing to relieve the non-preferred stevedores from an obligation to pay the fee and requiring collection from the carriers/OEMs. However, in the footnote, the ALJ advises carriers and OEMs to challenge the fee as unreasonable, based on his erroneous conclusions as discussed above.

We respectfully submit that such dicta is contradictory to the Initial Decision, contradicted by the record, and should be stricken from any future ruling or revision.

IX. EXCEPTION 8: OPEN QUESTIONS RESULTING FROM THE INITIAL DECISION

Respondent takes exception to the open questions that remain as a result of gaps in the Initial Decision and request the Commission provide clarity with respect to the collection of per vehicle fees for the January 2023 to May 2024 period.

The Initial Decision concludes that Respondent’s charging of a “much higher” access fee to the non-preferred stevedores at its terminal compared to the access fee charged to the preferred stevedore “without sufficient justification” violated the Shipping Act and issues a cease and desist order requiring Respondent to stop charging Complainants the \$25 per vehicle access fee for the period from January 1, 2023 through May 15, 2024.

In the event that the conclusions of the Initial Decision are affirmed, notwithstanding the exceptions noted above, the Initial Decision leaves open certain specific questions: (1) whether Respondent may charge a fee less than \$25 a car that is not “much higher” than the fee charged to the preferred stevedore; and (2) whether Respondent may collect such a reduced fee from the carriers and OEMs.

While Respondent would conclude that it would not be barred from imposing a reduced fee, or from collecting such a fee from the carriers or OEMs, Respondent has no desire to repeat the expense and burden of a further proceeding over such fees or charges and would appreciate the Commission’s guidance on what it would find a reasonable fee under the circumstances detailed above and in the record, and from whom it may be collected.

X. EXCEPTION 9: THE ALJ ERRED BY FAILING TO ADDRESS THE COMMISSION’S LACK OF JURISDICTION WITH RESPECT TO PORTS AMERICA’S CLAIM OF LOST BUSINESS

While Respondents agree with the ALJ’s findings with respect to the lack of evidentiary support for Claimant’s lost business claim, Respondents take exception to the Initial Decision’s failure to address more fully the Commission’s lack of jurisdiction over Complainants’ lost business claim in accordance with *Sec. & Exch. Comm’n v. Jarques*, 603 U.S. 109 (2024).

As set forth more fully in Respondent’s Initial Brief, Complainant’s claim of tortious interference with business is outside the Commission’s jurisdiction. As clarified in the Supreme Court’s decision in *Sec. & Exch. Comm’n v. Jarques*, 603 U.S. 109 (2024), Congress, and by extension the congressionally-created federal agencies such as Federal Maritime Commission, may not “withdraw from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law, or in equity, or admiralty.” *Id.*

The Initial Decision appears to concede that Complainant's claim is outside the scope of the Commission's jurisdiction when it states that "Complainants do not advance a valid theory of how conduct that would constitute a tort under Maryland law is also a violation of § 41102(c)." [ID at 33]. However, after correctly noting that Complainant's claim for interference with business relations would constitute a tort under Maryland law, the Initial Decision fails to note the inevitable consequence of that fact under *Jarkesey*; namely that the matter lies outside of the Commission's jurisdiction.

While the issue may be mooted by the conclusion that Complainants failed to establish evidentiary support for their claim, we respectfully submit that the Commission's jurisdiction with respect to tort claims framed as reparations should be addressed for future proceedings which may touch on this issue.

XI. EXCEPTION 10: FINDING OF FACT NO. 15

Finding of Fact No. 15 states that Respondent would enter into a "licensing agreement" with "existing stevedores." This is incorrect. Respondent entered into an exclusive stevedore agreement with a single stevedore provider, Ceres [CX_01328-1341].

XII. EXCEPTION 11: FINDING OF FACT NO. 36

Finding of Fact No. 36 states that "It is sufficient to note that Complainants lost nearly all of their volume for some customers, Complainants lost approximately half of their volume vis-à-vis other customers, and Complainants lost a relatively small percent of their volume for other customers, namely the customers with whom they engaged in negotiations."

As concluded by the Initial Decision, the spreadsheet on which Finding of Fact No. 36 is based was unverified by any witness and uncorroborated by any outside, independent source [ID at 39]. Further, whether Complainants actually "lost" that volume is in further dispute as the

spreadsheet, even if had been reliable, would have only confirms lower volumes at one specific terminal; not “lost” volumes [See RPF 59, 60, 62, 63].

XIII. CONCLUSION

Respondent respectfully requests that the Commission review and correct the foregoing errors evident in the Initial Decision for the reasons set forth above, and find that Complainants failed to meet its initial burden of production to establish a *prima facie* case of anti-competitive impact within the relevant market, and, to the extent that any claims remain thereafter, apply the ultimate burdens of persuasion upon Complainants, find that the actions of Respondent did not violate the Shipping Act, and, to the extent still relevant, provide the guidance requested for any remaining questions with regard to the imposition and collection of the access fees for the period from January 2023 through May 2024, and grant such further relief as may be just and proper.

Dated: February 7, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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